

Azure Wings: Airline's Expansion Strategy

Teaching note

1. Synopsis

This case takes place when top American airline Azure Wings considered a strategic entry into the thriving Singaporean market. The story follows the airline as it attempted to profit from the normalization of passenger flows in the post-pandemic environment, under the direction of Matilda Harrison, head of the network development department. The case highlights the divergent ideas put forth by director of international sales, Richard Blackthorn and Harrison, which prompted a thorough investigation into the fields of business expansion methods and the associated financial and ethical ramifications. The case highlights the financial complexities of the aviation sector, addressing important indicators including passenger rates for travel from the United States to Singapore.

As Azure Wings reviewed its pre-pandemic expansion plans, the case presents financial concepts like the Weighted Average Cost of Capital (WACC) and Net Present Value (NPV) among many others. Harrison's contribution to guiding the business through the pandemic's difficulties is highlighted, demonstrating her knowledge in data analysis and strategic decision-making. The financial considerations went beyond operational data as Azure Wings considered entering the Singaporean market. A layer of complexity is added during financial evaluations by the opposing offers from Blackthorn and Harrison. Due to his personal aspirations, which were linked to his family's ties in Singapore and the possibility of financial gain, Blackthorn created a situation in which personal goals collided with organizational ones. Crucial factors to consider were the financial ramifications of Blackthorn's proposed new office in Singapore and Harrison's proposal to hire a local handling agent, together with their accompanying costs. In addition to financial measures, the case explores the moral aspects of decision-making. Thus, the case study provides a rich framework for in-depth research and

discussion in class by encapsulating a thorough assessment of financial subtleties, corporate strategy, and ethical considerations in the aviation industry.

2. Teaching Objectives

- Analyze market share, competition, and strategic positioning against industry leaders.
- Utilize market share, passenger rates, WACC, and NPV/IRR to gauge financial health and resilience. Students will also be able to learn about better financial decision making and resource allocation.
- Compare proposals by Harrison and Blackthorn, emphasizing financial implications.
- Discuss challenges and opportunities of international expansion, including code-sharing agreements, alliances, and customized services for diverse markets.
- Explore the ethical dimensions of decision-making, emphasizing leadership challenges and the balance between individual ambitions and corporate objectives.

3. Target audience

The case can be taught in undergraduate and graduate finance courses as well as a part of a management curriculum if emphasis is placed mostly on the ethical and market analysis rather than the financial side of the case. The case would be interesting for students who major in finance and those interested in pursuing a career in engineering as it discusses important decisions faced by the airline industry. Students should have a basic knowledge of corporate finance and investments, including capital structure and investment decision-making techniques, as well as valuations of debt and equity financial instruments.

4. Supporting Materials

The instructor's spreadsheet "Teaching note_Excel" contains Excel documents for the following calculations: measure of systematic risk (beta), cost of equity, cost of debt, weighted average cost of capital (WACC), decision for both options involving NPV and IRR techniques. These calculations are needed to decide on a problem mentioned in the case study.

5. Suggested Questions and teaching plan for a 75-minute class

- 15 min - Discuss the airline industry and main airlines in the USA and Singapore.
- 20 min - Discuss financial information provided for Azure Wings and how it could help to make a final decision.
- 20 min - Discuss ethical dilemmas and situations that could arise in real life when not only financial indicators matter for the final decision.
- 20 min - Epilogue and decision-making techniques. Show the difference between NPV and IRR as well as discussing how the cost of equity, cost of debt and WACC can help to answer the questions raised by the case.

1. Why did Azure Wings want to open a new international route to Singapore? (Provide reasons to support your answer)
2. Who were the main competitors of Azure Wings in the US and Singapore, and how did Azure Wings compare to them?
3. What two main options did the company have in terms of operating in a new destination? (Discuss both options and list potential factors, beyond pure financial ones, to be assessed before the company makes a decision).

6. Case analysis

1. Why did Azure Wings want to open a new international route to Singapore? (Provide reasons to support your answer)

Azure Wings was meticulously crafting a strategic vision to propel its global footprint, and the decision to expand operations to Singapore stood as a pivotal element of this overarching strategy. The contemplation of Singapore as the next destination stemmed from a thorough analysis of the city's multifaceted appeal and its alignment with Azure Wings' growth objectives. Singapore's business landscape, spanning technology, finance, culinary ventures, and unique retail experiences, added an enriching dimension to the travel experience. Noteworthy Singaporean businesses with ties to American companies included the technology giant Grab, the global financial institution DBS Bank, culinary establishments like Hawker Chan, known for its Michelin-starred street food, and retail enterprises such as Charles & Keith and Love, Bonito etc. Firstly, Singapore emerged as an exceptionally lucrative market for Azure Wings, characterized by a burgeoning number of passengers traversing its vibrant landscape for both business and leisure purposes. Despite the formidable challenges presented by the COVID-19 pandemic, Singapore had demonstrated remarkable resilience, maintaining its status as a destination of great interest for American travelers. This resilience underscored the city's adaptability and unwavering attractiveness, providing Azure Wings with a robust foundation for market entry. Strategically positioned as a transit point between the East and West, Singapore's geographical location offered Azure Wings a unique advantage by capturing travelers from other Asian cities to the US. This strategic positioning aligned with Azure Wings' commitment to providing seamless travel experiences and identified the airline as a facilitator of global connectivity. The expansion was not merely a geographical leap; it represented Azure Wings' commitment to embracing opportunities that aligned with its core values, customer-centric approach, and the pursuit of excellence in the aviation industry. As Azure Wings set its sights on Singapore, it envisioned not just expanding routes but becoming an integral part of the city's aviation landscape, contributing to its growth, and fostering meaningful connections in this cosmopolitan hub.

2. Who were the main competitors of Azure Wings in the US and Singapore, and how did Azure Wings compare to them?

Azure Wings operated in a dynamic landscape, competing in the US airline industry alongside major players like American Airlines, Delta Air Lines, United Airlines, JetBlue Airways, and Alaska Airlines. This vibrant arena was characterized by a nuanced interplay of strengths and challenges, where each competitor contributed to shaping the trajectory of the airspace in distinctive ways. Although Azure Wings didn't hold the title of a market leader, it strategically positioned itself as the fourth-largest airline in the US, signaling a deliberate approach to carve a niche within the competitive landscape. The airline distinguished itself through a trifecta of strengths — a robust brand reputation, high customer satisfaction levels, and an extensive domestic route network. These pillars formed the bedrock of Azure Wings' strategy and allowed it to stand out amid industry giants. As Azure Wings charted its course through the airspace, innovation became a cornerstone of its approach. The airline placed a premium on staying at the forefront of industry trends and evolving to meet the needs of the modern traveler. Azure Wings' journey in this competitive landscape was not merely about securing market share; it was a narrative of strategic prowess, adaptability, and a commitment to meeting the diverse needs of travelers.

Embarking on the vibrant aviation scene of Singapore, Azure Wings found itself amidst industry giants, prominently led by Singapore Airlines, boasting a commanding 32% market share. Azure Wings faced distinctive challenges as it ventured into the Asian market, grappling with limited presence, intricate cultural nuances, and entrenched competition with the local carriers. While Azure Wings had achieved domestic success, the absence of substantial operations in Asia presented a vulnerability in its global strategy. To establish a meaningful presence in a market shaped by well-established players, Azure Wings needed a strategic approach to overcome this limitation. Cultural nuances further complicated Azure Wings' entry into the Asian market. Singapore's rich tapestry of cultures and traditions demanded a nuanced understanding for successful navigation. The diverse demographics and cultural influences in the region necessitated

Azure Wings to adapt its operations, services, and marketing strategies to align with local sensibilities. Building cultural intelligence became a strategic initiative to resonate with the local audience and foster connections within the Singaporean community. Building strong local partnerships emerged as another strategic imperative for Azure Wings. This approach offered insights into the nuances of the market, potential challenges, and avenues for growth. The varying regulatory landscape in Asia, distinct from the US, demanded that Azure Wings navigated a complex web of rules and compliance standards. Effectively addressing these challenges required Azure Wings to formulate a comprehensive strategy that surpassed mere market entry. It involved not only adapting services and operations to align with cultural nuances but also actively engaging with the local community.

3. What two main options did the company have in terms of operating in a new destination? (Discuss both options and list potential factors, beyond pure financial ones, to be assessed before the company makes a decision).

Azure Wings found itself at a pivotal crossroads, confronted with the strategic decision of establishing a new office or recruiting a local handling agent in Singapore. Each option introduced a distinct set of opportunities and challenges, demanding a thorough exploration of factors that would mold the airline's expansion strategy. In considering the prospect of opening a new office, Azure Wings could embark on a comprehensive market research endeavor to pinpoint potential locations with high demand. This involved a meticulous analysis of passenger flow, business opportunities, and cultural considerations. By delving into the intricacies of each potential location, Azure Wings could strategically position itself in markets aligning with its business objectives. On the flip side, evaluating the alternative of hiring a local handling agent allowed Azure Wings to test the waters with a more measured approach. This option provided the flexibility to assess market dynamics with the help of a local professional with extensive market experience and knowledge. Key assessment criteria in this scenario included evaluating the proficiency and expertise of potential handling agents, understanding industry standards, and gauging the availability of skilled

personnel. Azure Wings must conduct a meticulous analysis to determine the suitability of each potential handling agent, considering factors such as experience, reliability, and the potential for sustained support. Before Azure Wings arrives at a conclusive decision, a comprehensive evaluation of various factors was imperative. Expertise became a pivotal consideration, encompassing an in-depth understanding of industry requirements and the ability to navigate the complexities of the aviation sector. Communication and coordination capabilities also played a crucial role in determining the feasibility of engaging a specific handling agent. Additionally, adaptability to changing circumstances was vital, especially in the dynamic landscape of the airline industry. Azure Wings must anticipate and prepare for unforeseen challenges, demonstrating resilience and strategic agility in responding to evolving operational conditions.

In conclusion, Azure Wings faced a multifaceted decision in expanding its global presence. Whether opening a new office or hiring a new handling agent, the airline's success hinged on a comprehensive evaluation of industry dynamics, handling agent capabilities, operational needs, communication efficiency, and adaptability to changing circumstances. Moreover, ethical considerations and power plays at the company's headquarters in New York added additional complexity before the final decision could be made.

7. Background reading

It's recommended that students familiarize themselves with the aviation vocabulary and general outlook on the industry. More information could be found on International Air Transport Association (IATA) website along with future of global aviation outlook up to year 2035 - <https://www.iata.org/contentassets/086e8361b2f4423e88166845afdd2f03/iata-future-airline-industry.pdf>. Moreover, it's recommended for students to understand the competition in the aviation market and existing alliances in this industry. Nowadays there are three major airline alliances in the world that help individual airlines to expand their presence on different international markets: SkyTeam (<https://www.skyteam.com/en/>), Star Alliance (<https://www.staralliance.com/en/home>) and Oneworld (<https://www.oneworld.com/members>).

8. Experience of using the case

Although the airline Azure Wings is fictitious, the problems outlined in this case are timely and students can find themselves in a similar situation when different opinions, experiences and interests intersect in one company, and they still need to make the best decision for the business without compromising their reputations and ethical principles. From a financial standpoint, the decision was clear and the company would be much better off if it decided to hire a local handling agent rather than opening an office in Singapore. Students should clearly understand, however, the interplay between finance, power, and positions of stakeholders inside the company – everything that can influence the final outcome. Such an interplay and holistic outlook on the company and airline industry in general is usually the main factor of interest for students as they might not be satisfied with only financial calculations and decision-making techniques based solely on those.

During the teaching of this case study at Florida Polytechnic University I saw a lot of interest from technically oriented students who wanted to know more not only about airline market but also about aviation in general which opened the door for more detailed discussion. For those students who were not very interested in aviation, I always explain that methods and investment decision criteria used in the case, such as NPV and IRR, might be utilized in any other field or industry as well. For example, one of my students told me that he utilized those criteria while making a decision of which movie to produce while interning at a movie production company in Los Angeles during the summer. Overall, it's recommended that instructors underline the fundamental importance of discussed techniques and stress that they might be used in very different settings.